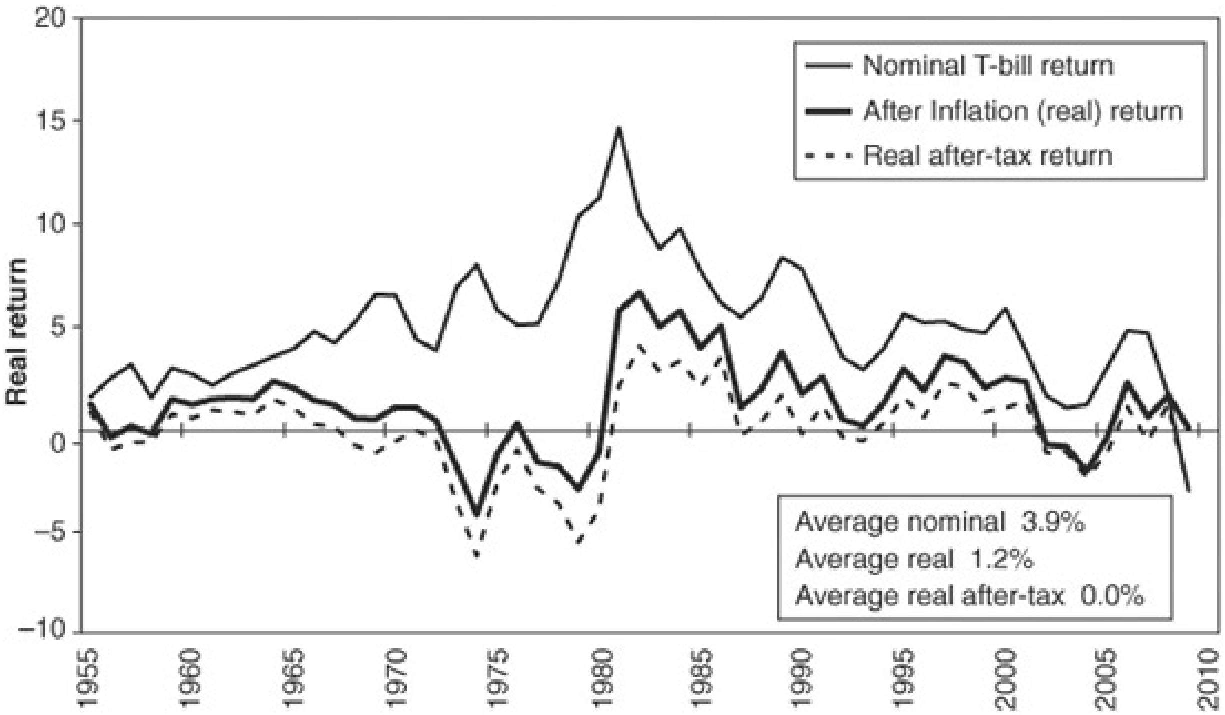
FIGURE 11-4

Annual Treasury Bill Returns, 1955–2009



A return from T-bills of zero percent after taxes and inflation is not surprising and should be expected by investors. T-bills are risk-free. Any investment that is risk-free should also be return-free in an efficient market. There is truth to the saying "no pain, no gain." For all practical purposes, assume that, going forward, the after-tax inflation-adjusted return on T-bills will continue to average 0 percent.

Taxes are an expensive investment cost, and tax management should be part of every investor's plan. More information on taxes and management as it pertains to asset allocation and portfolio management is discussed in future chapters.

STACKING RISK PREMIUMS

All investments have risk. Even risk-free Treasury bills have inflation and tax risk if taxes and inflation go up before the T-bills mature. All other asset classes have additional risks on top of the inherent T-bills risks. By analyzing all the different unique risks inherent in an asset class that lead to price volatility and summing the expected return premiums for taking all those risks, you can estimate the expected total return on the investment. By